

rates as low as 6.75 per cent—and while both demand and price in the real estate sector have moved up in the recent past, it is negligible when compared to metrics like MF flows or the entry of new investors in the market. It is more telling of the fact that the abandonment of physical assets is comprehensive, says Mukherjea.

The low rates leading to abysmally low deposit rates have also convinced many potential investors to look at direct stock investing or parking their money in liquid funds that may well be offering a slightly lower rate of return when compared to bank deposits but make up with the added benefit of a negligible lock-in period. “The savings habits have substantially changed. The early FD [fixed deposit] money has moved to mutual funds,” says B. Gopkumar, MD & CEO, Axis Securities, adding that the recent resilience has been entirely due to domestic money.

While a majority may think that the domestic flows have made the Indian stock market resilient, there is another theory: are the flows holding up the market or is the market driving the flows? Many say that while the number of demat accounts and unique MF investors have grown manifold in the past couple of years, going ahead one could see a different trend if the market falls and stays there without recovering like it did in March. “It is difficult to isolate the cause and effect. What happens if there is another fall? I would like to be cautious about assuming that going ahead the flow will stay the way it is right now,” says Aashish Somaiyaa, CEO, White Oak Capital Management.

Somaiyaa explains that while flows strengthen the market, the market provides sustainability to the flows. “If the market falls 10-15 per cent and then does not recover and just consolidates at lower levels, then the flows could slow down as people would lose confidence. If the market does not reward [investors],



“Domestic flows are coming to the market as people are abandoning physical assets and investing heavily in financial assets. [The] reason being that physical assets have not delivered returns in the past five to six years”

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“We are seeing domestic flows. The fact is that while FPIs have withdrawn, domestic investors have filled in... While global sentiments are weak, Indian markets are resilient on the back of consistently strong domestic flows”

TUHIN KANTA PANDEY
SECRETARY, DIPAM (AT A
PRESS CONFERENCE TO
ANNOUNCE THE LIC IPO)

then whatever be the demographics of the investing community, people will get disenchanted,” he says.

MARKET PLAYERS usually have two common questions: If there is a rally, is it sustainable or short-term? If liquidity is pouring in, will it sustain or trickle down? The debate between long-term and short-term is a constant. It is a given that people come to the market to make money. Till the time one is able to make money—across varying time frames—money will keep pouring in, say experts.

The risk profile of today's investor has also changed from those who entered the market a decade or two ago. Earlier, people used to invest their surplus money in stocks after putting it in real estate, gold or bank deposits. A majority of the new investors are aged 25-35 years and have a higher risk appetite. They are fine with losing some money as long as they see the potential of making money in the longer term.

A lower interest rate regime—though some banks have upped rates after the recent rate hike by the Reserve Bank of India—and the formalisation of various sectors and investment options have acted as catalysts in channelising an increasing share of savings to the stock markets. “Earlier, investors would get scared if there was a fall as equity was perceived to be risky. Today the average investor coming to the markets does not seem scared with a 10-15 per cent fall,” says Somaiyaa.

So, while it may appear that the flows look sustainable, one would have to wait and watch—as always—to see how the market plays out even as foreign and domestic investors continue to take opposite paths. Till that time, the market remains ‘self-reliant’. **BT**

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